

salaries upwards (higher by 10-15 per cent) compared to other shop floor related jobs." Dr Surinder Kapur, chairman and managing director of Sona Koyo Steering Systems, says: "The white collared workers have benefited the most from high salary increments. The blue-collared workers will benefit too in the future as they will start comparing themselves with the white collared workers and demand better perks." Very simply, the hiring and salary boom which hitherto was limited to the services sector has now reached the factory floor.

In India's most high profile sector, the IT industry, it is the rising rupee and wage inflation which are taking a toll, particularly on companies which do not have the breadth and scale of big companies such as Infosys.

"Over the last few years, demand has been very high compared to the supply as the industry has been growing at 24 per cent. This has resulted in higher salaries and is putting some pressure on companies. They can surely not continue for another five years, but India's competitive advantage is not at risk here," says Laxmi Narayanan, chairman of the National Association of Software and Services

Companies (NASSCOM). While IT bellwethers like Tata Consultancy Services and IBM in India are looking at rationalising workforce and salaries, there are others like Infosys which are not only maintaining their profit margins but also their employee compensation. This is perhaps because Infosys is a veteran when it comes to business cycles. Says Mohandas Pai, member of the board and head of human resources at Infosys: "Salary hikes will not be evenly

distributed. Skills which are hotly in demand will see increases as high as 18 per cent. Average mid-level increase will be in the range of 12 to 15 per cent while at the entry level it will be between 6 and 8 per cent. Overall salaries will be sharply focused on skills."

Evidently, it makes sense to either be part of a booming industry or to possess skills which are in huge demand. However, HR strategists like Pai are not worried about losing their competitive advantage because high growth is creating a pyramid effect. So, as long as the base is high, rising salaries are sustainable. Human capital cost makes up 52 per cent of total revenues of Infosys, while for other MNCs, it runs up to 60-65 per cent. There is certainly headroom for Indian IT companies which

sources at Bharti Airtel: "At the lower levels, skills are transferable across industry, which is why compensation at these levels has been very active and median salaries have gone up by almost 15 per cent."

No wonder, industries which have seen rapid growth over the last few years are beginning to peak out, while those which have been lagging in compensation are now catching up. As manufacturing is losing its people to services, the sector is paying more. Even FMCG and consumer durables companies are finding it tough to retain people as industries like retail and real estate are lapping up talent at high salaries. The sector is looking at paying better but clearly cannot pay higher than its growth rate. Says Nalin Garg,

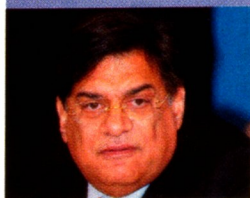
VP, HR, Coca-Cola India, "We do a detailed custom salary survey every year with Hewitt. We mostly benchmark against FMCG companies, but just to be ahead of companies, we include one company from the telecom sector, one from retail and one from financial services." While Coca-Cola India is looking at benchmarking, other players like Hindustan Unilever, which has been fac-

ing a tough time in India for many years, is looking at retrenchment. Explains Anjali Bansal, managing director of global executive search firm Spencer Stuart, India: "Most mature industries find it difficult to attract and retain people as the excitement is clearly not there and nor can they offer compensation."

When the workforce is young and vibrant, what really matters is the challenge and the cash in hand. So be it manufacturing, automobile or telecom, the only effective method of keeping employees happy is through higher salaries and bigger perks. If companies have to sustain this wave of growth, they have no choice but to shell out more money as long as the costs justify the output. ■

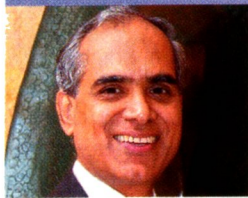
"White collared workers have benefited. Blue collared workers will benefit in the future."

S. KAPUR
CMD, SONA KOYO



"The IT industry's growth has spiked the demand for manpower, which resulted in higher salaries."

L. NARAYANAN
CHAIRMAN, NASSCOM



"Salary increases will be between 12 and 15 per cent at Infosys but skills in demand will get higher increases."

MOHANDAS PAI
HEAD HR, INFOSYS



have not indulged in excesses.

With perquisites becoming a bit more expensive after the levy of fringe benefit tax, companies are also looking at various kinds of cash incentives to retain employees. For instance, Bharti Airtel, India's largest mobile telephony service company, uses cash instruments like sign-on bonuses, marriage allowances and recognition awards to keep its employees engaged. According to Krish Shankar, director, human re-

Manufacturing and IT are expected to pay out the highest increase at 16%